DealScape

The Marketplace for M&A

The Problem

- M&A marketing processes are slow, inefficient, and miss many potential buyers
- Most of these processes require emails, phone calls, and finding potential buyers via sell-side research and limited professional networks
- Many buy-side firms only find out about potential acquisitions via solicitation from sell-side firms or in-house sourcing
- Many things can limit the ability for sellers to find buyers and vice versa
  - Being a newly established firm
  - not having correct business connections
  - no geographic overlap
  - not currently investing in an industry but looking to expand
  - some buyers may just want to go beyond their normal investing strategies if it means they can acquire solid businesses

The Idea

- More automated and widespread solution for the M&A marketing process
- Set up a platform like how Amazon and Facebook Marketplace work for sales & LinkedIn / Handshake work for job applications, but with the Deal Industry
- Reach a greater number of potential buyers / sellers, that are actively in the M&A process, more easily
- Today's M&A process is slow, manual, and information is exchanged based on when individuals are around their emails / phones
- Today, buyer outreach is limited by network connections and how many buyers the sell-side try to reach (occasionally the buyside reaches out first)
  - There are thousands of Buyout firms and Investment Banks in the US alone
    - Does not include strategic buyers, family offices, private credit, mezzanine, or venture capital firms
- This applies to many fundraising opportunities too (Series A funding rounds, debt financings, etc.)
- The Goal: Make the M&A industry more of a digital marketplace

The High-Level view of the Marketing Function: Sell-side

- The sell-side advisor (investment bank) will create a profile of their client who is looking to sell (target). Some of this info will be entered manually, and some will be created using automated tools
- The sell-side can then upload the teaser to the site (more on this later)
  - Using the text from these files, an LLM (GPT, Anthropic, etc.) will apply what it thinks are the most relevant Industry classifications as well as keywords & phrases, which will be added to a database for that client
  - These keywords can be manually edited, added, or removed by the user
- Once confirmed, the target profile is ready to be viewed by the buy-side
- the sell-side can see the list of buyers that fit the investment criteria

The High-Level view of the Marketing Function: Buy-side

- The buy-side (private equity firm, corporate development of strategic buyer, etc.) can set the investment criteria for the acquisition targets they want to see

- Enter a list of attributes (revenue, EBITDA, Industries, location, etc.) that matches their investment firm's criteria

- Each company that matches enough criteria will appear with a link to the profile

  - "enough" criteria has yet to be defined

The Marketing Process Summary

- As soon as a profile for a target is ready on the sell-side, it would be uploaded to the database and be visible to all DealScape buy-side users with matching investment criteria
- If a buyer has notifications enabled and interested specifications that fit with the new company, an alert can be sent to notify of a potential acquisition (either on the site or email… tbd)
- The sell-side can see all the firms currently looking for acquisitions that match the new profile
- The buy-side’s dashboard shows all target profiles that fit its investment criteria

Profile Information

- Financials
  - Revenue, EBITDA, Margins, etc.
- Geography
  - Can be specific or broad
- Ownership structure
  - Private Companies
  - Public Companies
  - Portfolio Companies of Investment Firms
  - Corporate Subsidiaries
- Aspiring Transaction Types
  - Total Sale
  - Acquisition of Majority Stake
  - Debt Raise
  - Minority Equity Raise
  - Mezzanine Financing
  - Divestiture / Carve-Out
  - Restructuring
  - Recapitalization
- Industry Classification
  - Tags / Keywords (AI and manual)
  - NAICS codes
  - Etc.

Sell-side Target Profile = Data about the company

Buy-side Profile = What data they look for in acquisition targets

Note: there are many fields that could be added, but this is a good representation

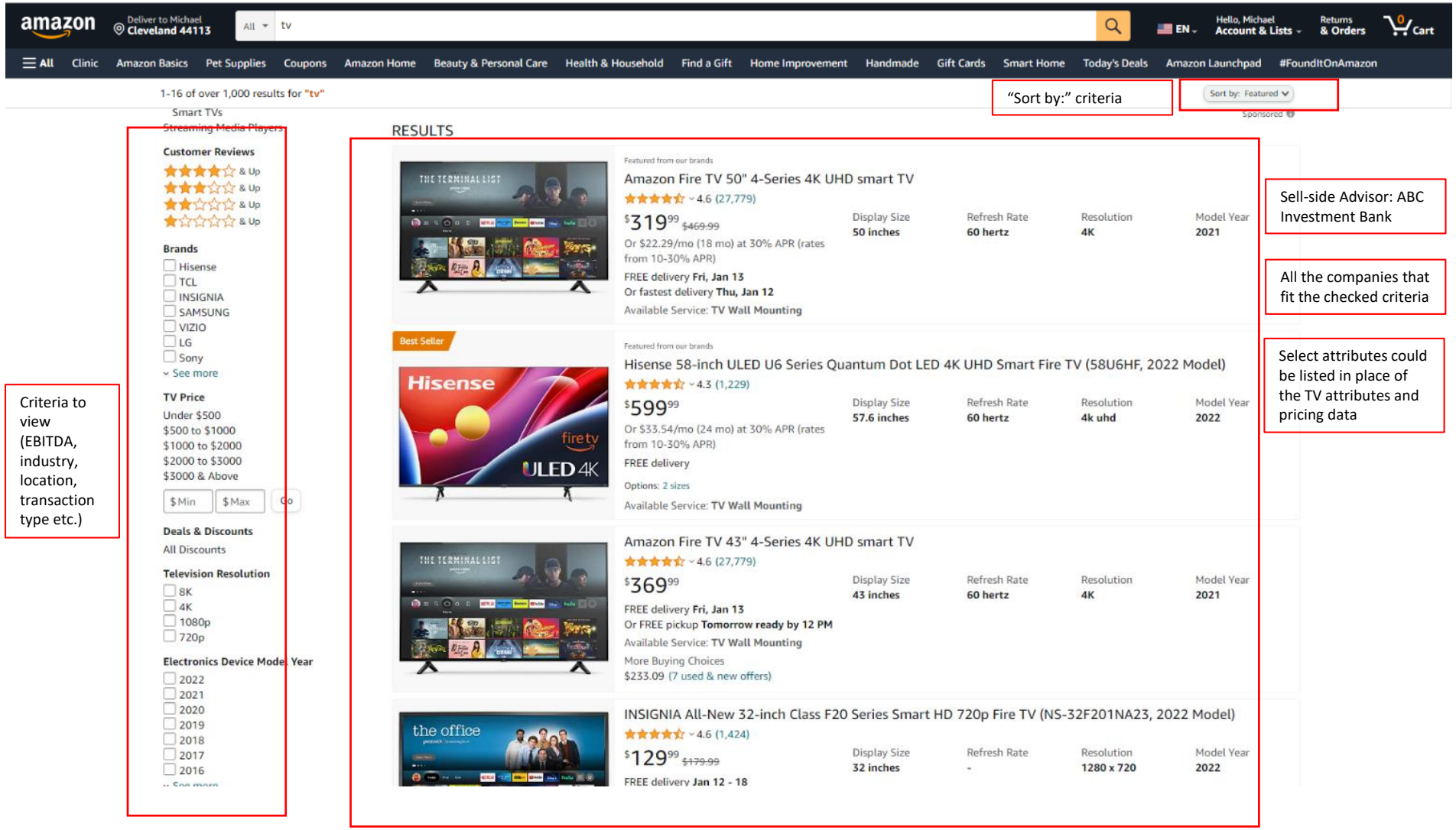
Profiles – Utilizing AI

- Most info (financials, geography, etc.) would be a simple match between values
  - e.g., a seller with $5 million EBITDA will align with a buyer having a preferred EBITDA range between $2 million and $10 million
- Qualitative data (specifically Industry classifications and keywords) will be more difficult
  - Most sell-side processes start by sending an anonymous one-page profile ("teaser") that give a high-level overview of the business
  - After uploading a teaser to a target profile, a tool such as an LLM may be a good way to extract keywords from the teaser (keywords could be added manually as well)
  - In addition to using "AI" to make keywords for the sell-side profile, using a tool to match qualitative info may also be necessary
    - e.g., the Industry keywords of "Manufacturing" and "Industrials" have a lot of overlap

High-level visualization

What a buyer would see – All applicable acquisition targets

- Using an Amazon search as inspiration, think of this but with full companies



Buyer's view: Dashboard Concept

Datasite Diligence

Search /

Investment Criteria

- [x] Investment Criteria 1
- [ ] Investment Criteria 2
- [x] Investment Criteria 3

etc.

Index List

Index	Name	Revenue	EBITDA	Keywords	Industry	Date Published
1	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:30
2	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:33
3	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:33
4	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:34
5	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:34
6	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:34
7	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:34
8	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:35
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10	Anonymous Name	Revenue	EBITDA	Keywords	Industry	2/17/2023 09:35
11	Anonymous Name	Revenue	EBITDA	Keywords	Industry	4/26/2023 17:11
12	Anonymous Name	Revenue	EBITDA	Keywords	Industry	3/14/2023 16:36
13	Anonymous Name	Revenue	EBITDA	Keywords	Industry	3/25/2023 15:40
14	Anonymous Name	Revenue	EBITDA	Keywords	Industry	4/26/2023 18:20
15	Anonymous Name	Revenue	EBITDA	Keywords	Industry	6/27/2023 09:36

Clicking on one of these links... >

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Buyer's view: potential acquisition target profile page

... Brings you to this page

Teaser

Descriptive Title (ie "Cereal Producer and Wholesaler")

Save

Request NDA

Sell-Side Advisor
ABC Capital Partners
Website Link

Primary Contact
Name
Email

Download Teaser

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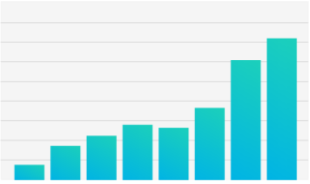

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Company Info
Industry Codes
Keywords
Location
Number of Employees
Etc.

Financials
Revenue
Gross Profit
EBITDA
Etc.

Other Information
Transaction Type
Etc.

Minimum Viable Product

MVP

- The core of the platform consists of
  - Making profiles on the buy-side and sell-side - Entering quantitative and qualitative data for each profile
  - Matching buyers to sellers based on overlap between profiles
  - Utilizing tools for keyword extraction and matchmaking (for lack of a better term, “AI,” which I’ve had the hardest time thinking through)
  - Utilizing a proper method for industry classification
    - Might make sense to use more of a correlation-based system than a hierarchy mapping like NAICS